2. Qualified Report

In qualified report the auditor believes that overall financial statements are not fairly stated. The reasons for giving Qualified Report are be as follows:

i. The books of accounts, Profit and Loss Account and the Balance Sheet do not represent the true and fair view of the state of affairs and results of the operations, due to lack of conformity with the accounting principles and statutory requirements,

ii. The auditor is not able to verify the value and existence of certain assets,

iii. The information requested by the auditor is not furnished,

iv. Proper books of account are not maintained as required by law,

v. Part of audit examination done by other auditors.

Specimen of Qualified Report

To

The Sharehoders
ABC Ltd.
Chennai

We have audited the attached Balance Sheet of XYZ Ltd., as at….. and also the Profit and Loss account for the year ended on that date. We report that:

We have received all the information and explanations which are necessary for the purpose of audit.

We conducted our audit in accordance with the auditing standards generally accepted in India.

In our opinion, proper books of accounts as per law have been maintained by the company with the accounting standards and the Balance Sheet and Profit and Loss account gives a true and fair view and subject to the comments given hereunder:

- The stock in trade has been valued at market price, which is higher than the cost by ₹ 50,000.
- The provision for depreciation is not sufficient.
- Amount spent for the repairs of machinery ₹ 2000 has been capitalized and added to the cost of machinery.

Signatures: For X,Y&Co

Chartered Accountants Partner

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